

private equity funds. George Aragon analyzes a database of hedge funds and reveals some surprising results. In [Table 5.4](#), Aragon highlights that over 16 percent of hedge funds lock up investor capital in the fund for one year or longer.

[Table 5.4](#) Hedge Fund Lockup Periods

Lockup (months)	0	1	3	6	9	12	18	22	24	30	90
Fund	2,380	15	15	38	1	404	1	1	12	3	1

Does this make sense?

Perhaps, but here are some questions to consider.

How Can I Access My Capital?

Monthly redemption with 90-day notice and a promise to send funds within 90 days of liquidation is really six-month+ redemption. There can be side pockets, notice requirements, redemption suspensions, and other provisions that limit, or restrict, redemption rights. And if you don't know what these terms are, be wary of such investments—make sure you know what you are buying! Watch for semantic shenanigans in subscription agreements. The devil is in the details.

What Is the Underlying Liquidity of the Assets?

Do the access privileges line up with the liquidity of the underlying assets? Monthly liquidity for a manager trading illiquid pink-sheets, or five-year locks for a manager trading mega-caps, probably don't make sense. The former may subject you to drawdowns during redemptions, while the latter is simply unjustifiable. Be on the lookout for mismatches between portfolio asset liquidity and portfolio manager liquidity provisions. There are other hazards, including in-kind distributions and preferential liquidity rights.

What Is My Investment Vehicle?

Limited partnerships are theoretically interesting, but what happens when another LP sues the fund and everyone's capital is locked up? Also, consider that, technically, a general partner of an LP can have access to client funds (think Bernie Madoff). Go for separately managed accounts (SMAs) or an